MEDICARE ORTHOTICS & PROSTHETICS MARKET

A Fragmented, High-Value Consolidation Opportunity

39,697	8,229	50+	CMS + ACS
Records	Suppliers	States	Data Sources

Audience: PE Firms & Strategic Investors evaluating Medicare O&P supplier market entry

Market Snapshot

Large market, small players — classic consolidation setup

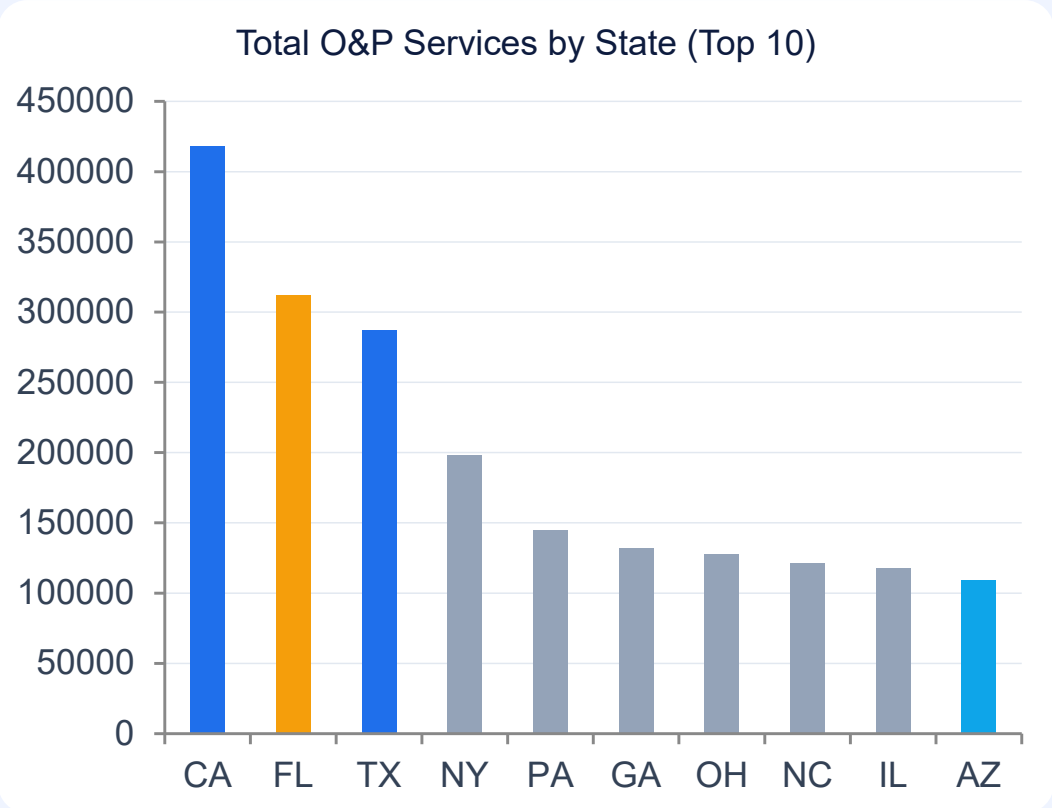
8,229	$217.70	15–20%	Top 10%
Active Suppliers	Median Reimbursement / Record	South/West Premium vs Midwest	Suppliers → Majority of Volume

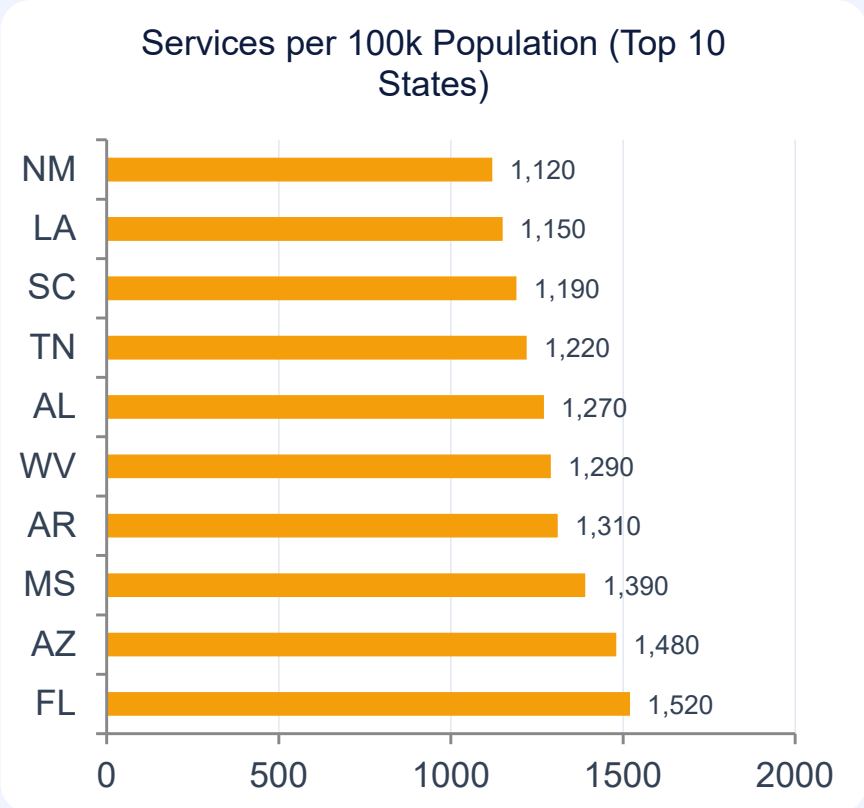
Investment Thesis

- Highly fragmented supply base with no dominant national player — roll-up potential is significant
- Spending concentrated in identifiable geographies and HCPCS code segments
- Structural pricing differentials across regions are persistent and not explained by demographics

Where Is the Volume?

Volume follows population — but value follows demographics

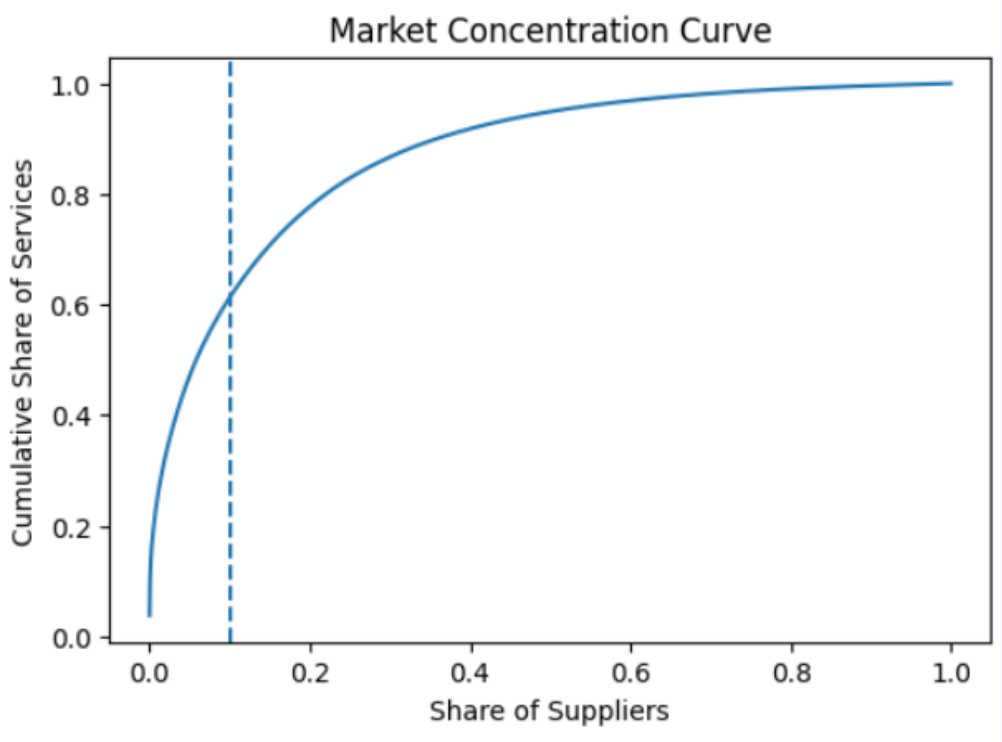


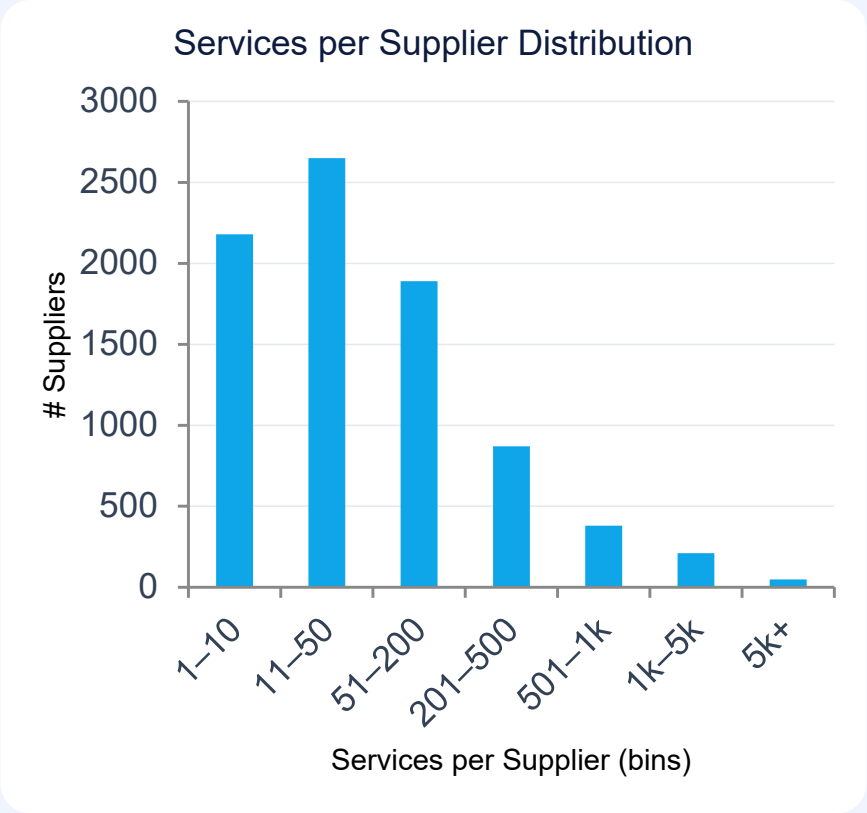


📍 FL & AZ top the per-capita ranking — aging demographics drive durable, structural demand independent of total volume

Who Controls the Volume?

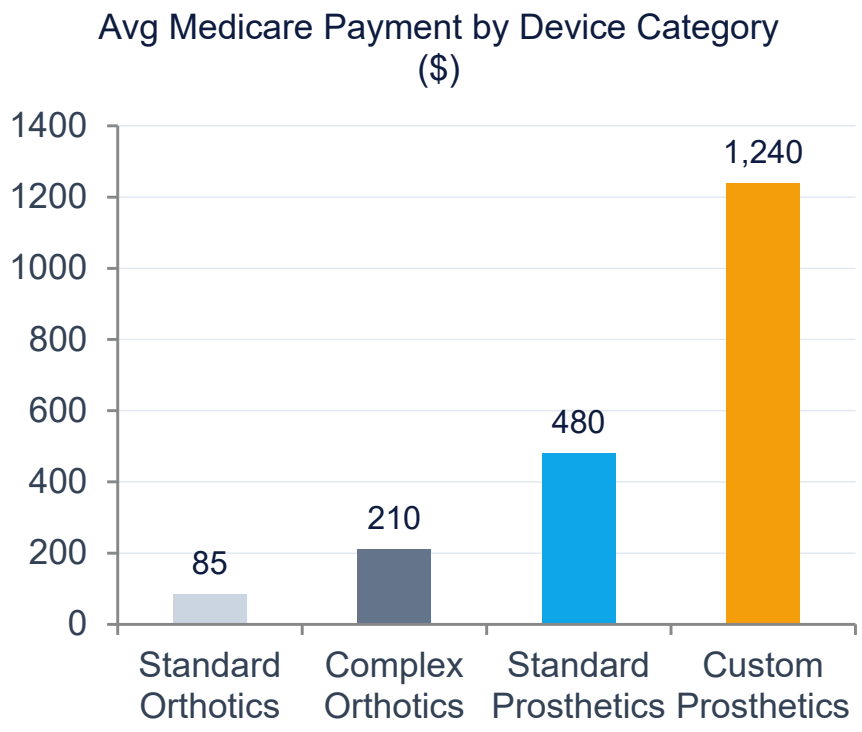
Top 10% of suppliers dominate services — roll-up target pool is clear

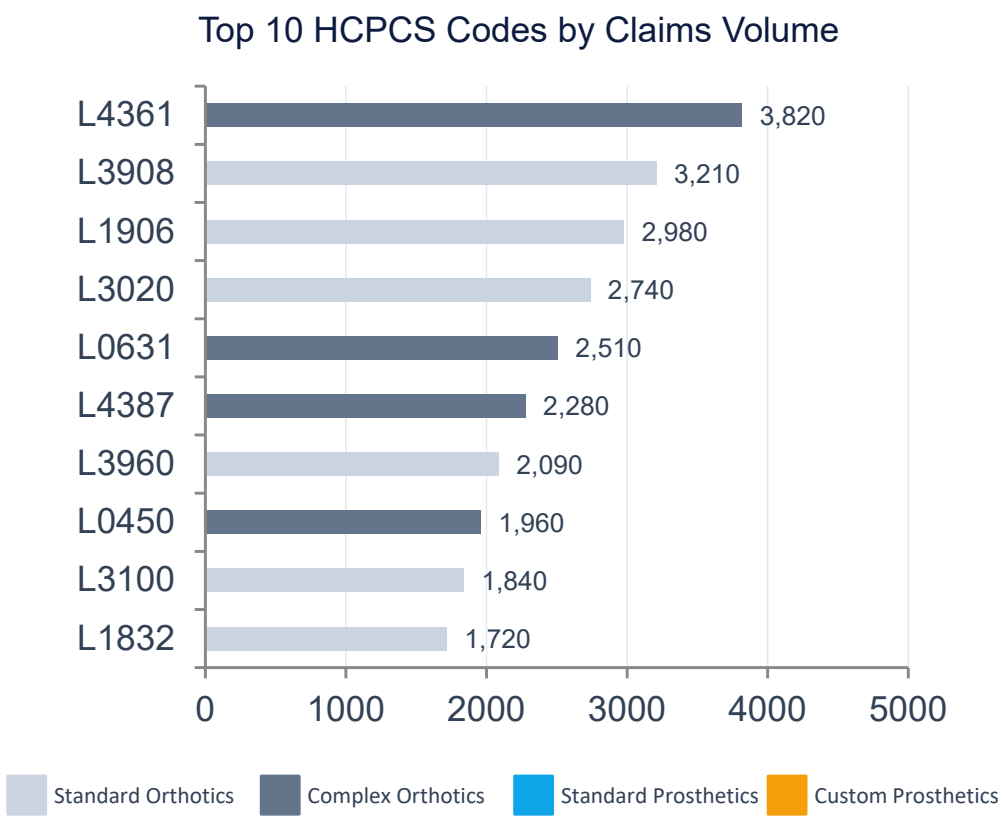




Where Is the Value?

Top-volume codes are ALL orthotics — custom prosthetics are low-volume but 15× higher payment





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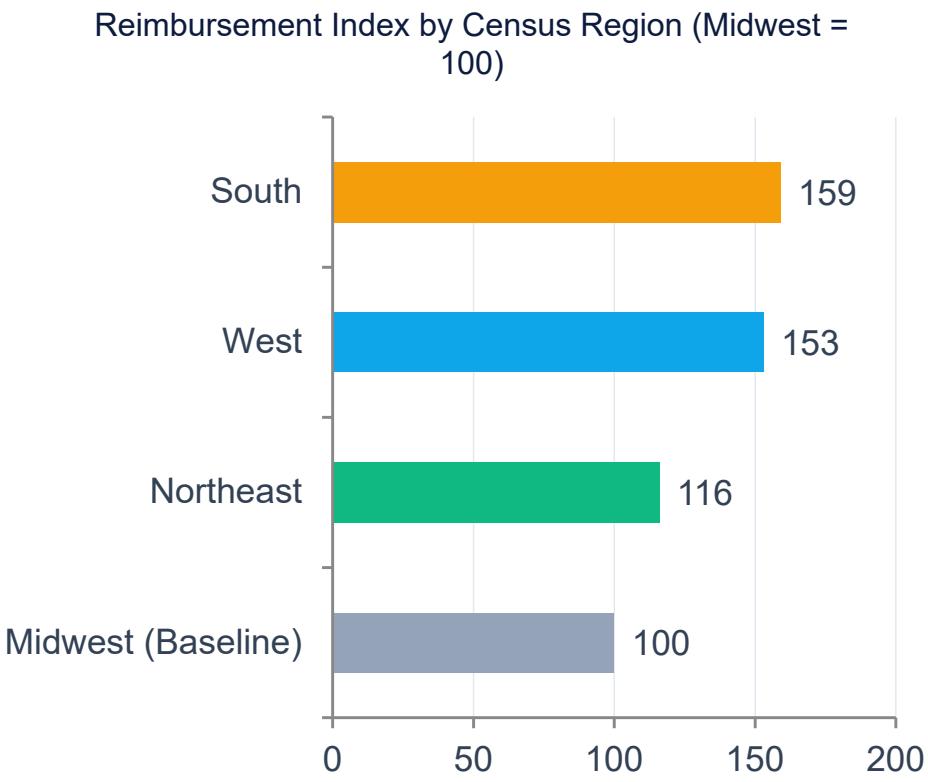
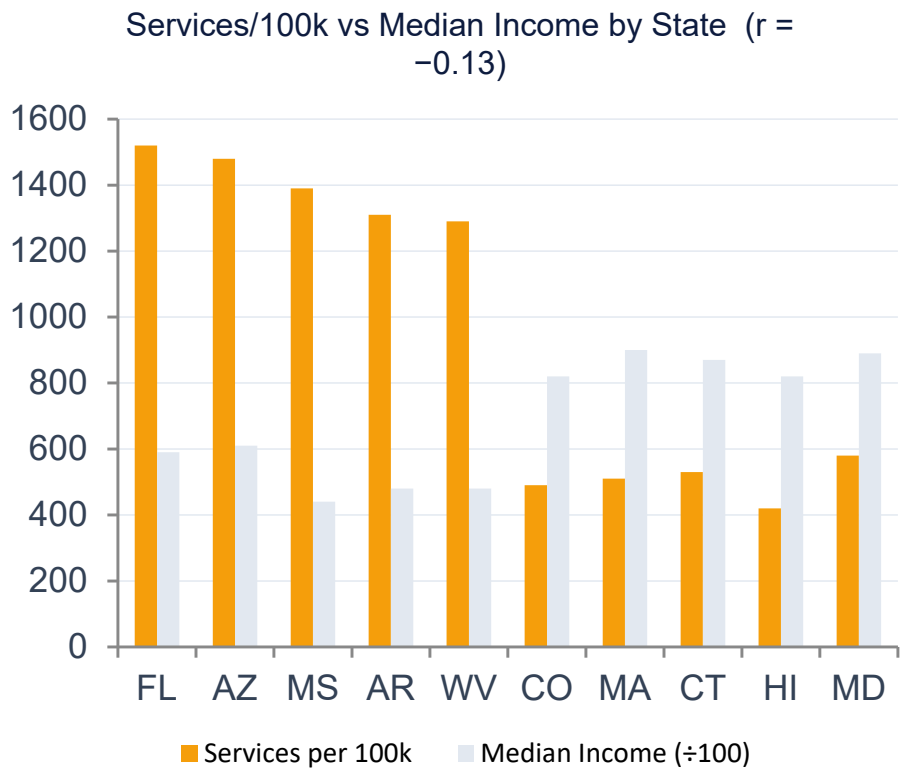
💡 SQL (Q14, LAG window): Payment cliff at code level

	HCPCS_Cd	avg_payment	prev_rank_payment	payment_gap
0	L5856	21380.59	NaN	NaN
1	L5973	15393.41	21380.59	-5987.18
2	E0766	11979.33	15393.41	-3414.08
3	E1007	7155.37	11979.33	-4823.96
4	L5987	6340.08	7155.37	-815.29
5	K0861	4716.97	6340.08	-1623.11
6	E0652	4673.79	4716.97	-43.18
7	E2510	4663.31	4673.79	-10.48
8	E0694	4607.37	4663.31	-55.94
9	K0856	4268.63	4607.37	-338.74
10	E0748	4010.34	4268.63	-258.29
11	E2508	3700.74	4010.34	-309.60
12	E0747	3595.83	3700.74	-104.91
13	L5781	3513.96	3595.83	-81.87
14	K0843	3369.06	3513.96	-144.90
15	L5321	3348.54	3369.06	-20.52
16	E0760	3344.42	3348.54	-4.12
17	L8499	3338.17	3344.42	-6.25
18	L8702	3246.05	3338.17	-92.12
19	L5968	3218.43	3246.05	-27.62

Regional Pricing Is Structural

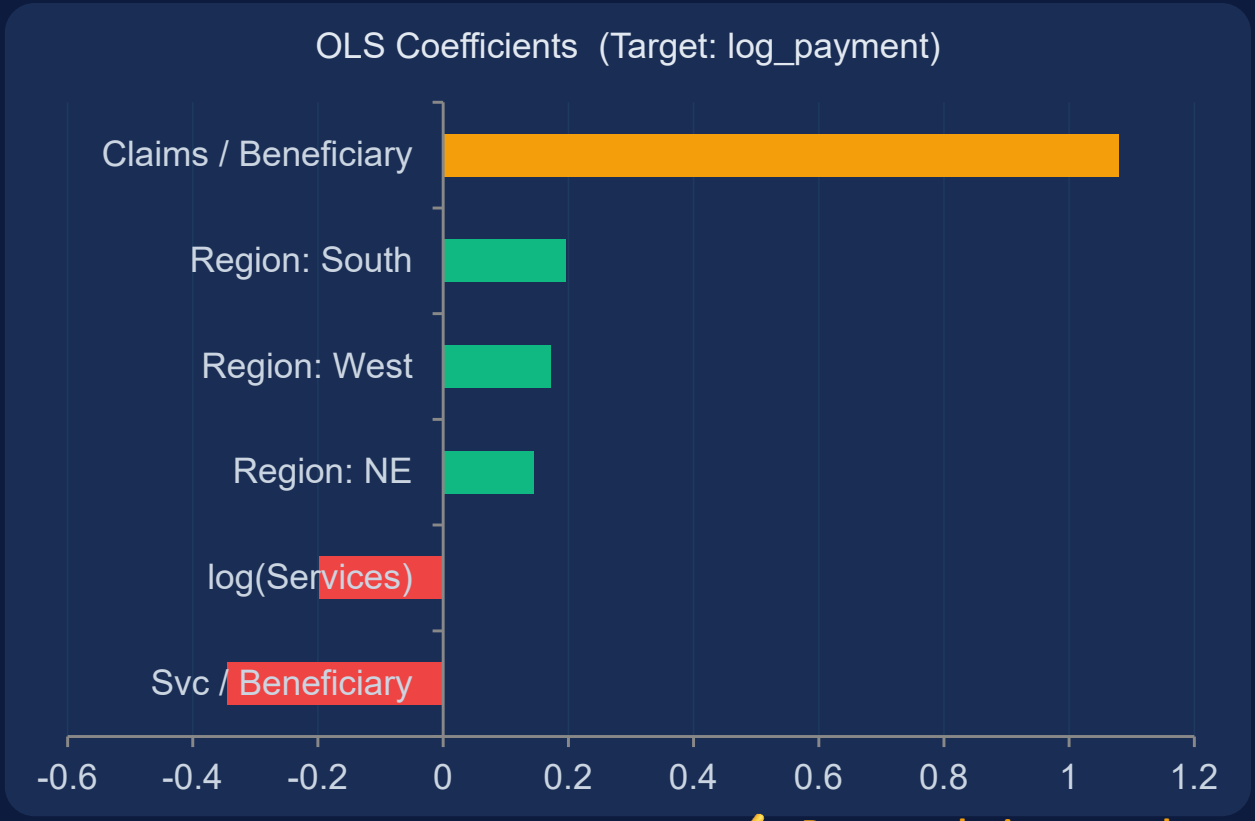
South & West carry a persistent 15–20% premium — independent of state wealth





Model 1: What Makes a Supplier High-Value?

OLS on 37,246 records | $R^2 = 0.285$ | F-stat $p \approx 0.00$ | All key features $p < 0.001$



👉 **Buy complexity, not volume**

📉 Scale ≠ Value

High-volume → LOWER unit reimbursement. Those suppliers run standard orthotics at thin margins.

📈 Complexity Wins

High claims density → HIGHER payment. Complex-case suppliers capture disproportionate value.

🗺️ South & West Premium

+15–20% above Midwest baseline, even after controlling for all operational variables.

Model 2: High-Value Segments Are Identifiable

Logistic Regression — zero billing inputs, geography + operational features only

	Predicted Low	Predicted High
Actual Low	1,907 ✅ TN	1,860 ❌ FP
Actual High	984 ❌ FN	2,699 ✅ TP

0.689 — **ROC-AUC**
vs 0.5 random baseline

73.3% — **Recall (High Payment)**
of high-value cases found

61.8% — **Accuracy**
+12pp above random

0 billing — **Features Used**
only ops + geography inputs

Geography + service intensity = reliable first-pass market scanner for high-value segments

The Playbook: Where to Enter, What to Buy

Three data-driven investment levers, each grounded in a specific empirical finding

		WHY	ACTION
01	Priority Markets **FL · AZ · TX · South**	Highest per-capita utilization + 15–20% regional reimbursement premium	Acquire state market leaders (control 20–30% of local volume)
02	Priority Segment **Custom Prosthetics**	$1,240 avg payment vs $85 standard orthotics — clear payment cliff at device boundary	Prioritize device-mix upgrade; avoid standard orthotic volume wars
03	Priority Profile **High Claims Density**	Claims/beneficiary β = +1.08 — strongest positive predictor in OLS model	Target suppliers serving complex cases, not those chasing raw service counts

Limitations & Next Steps

This analysis is the strategic map — target identification is next

⚠ Current Limitations

- Single-year cross-section — cannot detect rapidly growing or declining suppliers
- No case-mix severity adjustment — complex patients justify higher device costs
- Model accuracy (62%) is a first-pass filter, not a final decision tool
- Medicare Advantage excluded — full market size exceeds CMS data

🚀 With More Data

- Multi-year CMS supplier files → identify fast-growing acquisition targets
- ZIP code level analysis → find geographic white space (high demand, low supply)
- CMS Chronic Conditions Warehouse → case-mix adjustment for fairer comparisons
- Medicare Advantage enrollment data → complete TAM picture per state

"This analysis provides the strategic map. The next step is target identification."